No. 18-0918

IN THE

Supreme Court of the United States

OCTOBER TERM, 2018

IN RE BACKSTREETS PLOWING, INC., DEBTOR

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

v.

MILTON WEINBERG, RESPONDENT.

ON WRIT OF CERTIORARI TO THE
UNITED STATES COURT OF APPEALS
FOR THE THIRTEENTH CIRCUIT

BRIEF FOR RESPONDENT

Team 8R
Counsel for Respondent

QUESTIONS PRESENTED

I. Whether 11 U.S.C. section 362(a)(3) is violated when a secured creditor passively retains possession of collateral that is lawfully repossessed from the debtor prior to the petition date?

II. Whether 11 U.S.C. section 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under chapter 7 of the Bankruptcy Code?

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OPINIONS BELOW

In unreported opinions, the United States Bankruptcy Court for the District of Moot found for the Respondent, Weinberg on both issues and the Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed. The Thirteenth Circuit also affirmed; its opinion is reproduced as the record on this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. Section 102

In this title--
(1) – (2) [omitted]
(3) "includes" and "including" are not limiting;
(4) – (9) [omitted]

11 U.S.C. Section 362

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(1) – (2) [omitted]
(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate
(4) – (8) [omitted]

11 U.S.C. Section 363

(a) – (d) [omitted]
(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

11 U.S.C. Section 503

(a) An entity may timely file a request for payment of an administrative expense, or may tardily file such request if permitted by the court for cause.
(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1) **(A)** the actual, necessary costs and expenses of preserving the estate including--

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B) – (D) [omitted]

(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under Section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or

(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;

(4) – (9) [omitted]

11 U.S.C. Section 507

(a) The following expenses and claims have priority in the following order:

(1) **(A) – (C)** [omitted]

(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343),[1] and any fees and charges assessed against the estate under chapter 123 of title 28.

(3) – (10) [omitted]

11 U.S.C. Section 541

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2) – (7) [omitted]

11 U.S.C. Section 542

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

STATEMENT OF THE CASE

Backstreets Plowing, Inc. (the "Debtor"), a dwindling, seasonal plowing business, hoped to purchase new snow-plow trucks to avoid the recurring repair costs of its trucks. R. at 3. The new trucks would allow the Debtor to apply for a valuable contract in the City of Badlands ("the City"), where the Debtor is headquartered. R. at 3-4. The sole shareholder of the Debtor, Christopher "Big Man" Clemons, was short on funds and asked a friend, Milton Weinberg, to borrow $450,000 to purchase the new slow-plows. R. at 4. Weinberg graciously agreed to help Clemons and in return Clemons granted Weinberg a security interest in the trucks and even personally guaranteed the loan. R. at 4. The promissory note required the Debtor to make monthly payments to Weinberg once his business began to generate revenue again, which was predicted to occur in December of 2015. R. at 4. As agreed, Weinberg provided the Debtor with the loan in August 2015 and the Debtor purchased the new trucks shortly thereafter. R. at 4.

With the new trucks secured, the Debtor submitted its bid for the plowing contract with the City alongside two local competitors. R. at 4. The contract was for one year with the option to renew at the sole discretion of the City. R. at 4. At first glance, the Debtor's bid was far superior to the other two bids, which caused skepticism amongst the council for the City of Badlands as to whether the Debtor would be able to successfully satisfy the contract. R. at 4. Regardless, the city awarded the contract to the Debtor. R. at 4. Shortly after, Clemons and Weinberg had a falling out, which caused the two to not speak for a period of time. R. at 4-5.

As a result of an extremely mild winter and the city's flat pay rate, the Debtor's company was profitable for the first year on the contract. R. at 5. Still, Clemons missed three consecutive payments under the note. R. at 5. Weinberg contacted Clemons several times regarding the payments, but Clemons failed to respond to any of Weinberg's phone calls. R. at 5. Upon

meeting in person, Clemons became furious and demanded that Weinberg leave the premises and even directed the drivers to physically remove him. R. at 5.

Following their heated encounter, Weinberg filed suit on the note in April 2016 in the State of Moot Circuit Court located in Asbury Park County. R. at 5. Weinberg also sued Clemons on his personal guarantee. R. at 5. In October 2016, Weinberg obtained a default judgment against both the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees. R. at 5. Weinberg, dealing with personal stress, did not collect on his judgment immediately. R. at 5.

The Debtor's luck ran out the following winter, as normal winter conditions returned with several snowstorms. R. at 5. The Debtor incurred substantial losses due to the more frequent use of the snow-plows. R. at 5. Unaware of the Debtor's financial position due to Clemons' failure to communicate, Weinberg began to collect his judgment in January 2017. R. at 6. Weinberg hired a repossession company to repossess the snow-plows from the Debtor. R. at 6. Once repossessed, the trucks were delivered to one of Weinberg's warehouses where they were stored and still remain. R. at 6. It is undisputed that although Weinberg lawfully repossessed the snow-plow trucks, no foreclosure or similar proceedings have occurred. R. at 6. Thus, the trucks remain titled in the name of the Debtor. R. at 6.

At this point, not only was the Debtor financially unstable and running out of money, but it was also being sued by City of Badlands for its inability to fulfil its plowing contract. R. at 5-6. The Debtor filed a chapter 11 bankruptcy petition on February 4, 2017. R. at 6. The Debtor's attorneys sent Weinberg a letter demanding that the snow-plow trucks be returned immediately but Weinberg declined because he understood that the Debtor had the burden to bring a turnover action. R. at 6. Based on this understanding, Weinberg believed he had the right to demand adequate protection of his interest in the snow-plow trucks that Clemons granted him. R. at 6.

Ultimately, the Debtor did not file a turnover action. R. at 6. Instead, the Debtor filed a motion asking the bankruptcy court to find that Weinberg violated the automatic stay under section 362(a)(3). R. at 6. The bankruptcy court found that Weinberg did not violate the automatic stay under section 362(a)(3) because the retention of the snow-plows, which were lawfully repossessed, was not an "act to . . . exercise control over property of the estate" within the meaning of the statute. R. at 6.

The Debtor appealed in March 2017. R. at 6. By now, the Debtor had run out of money and the City had informed him that they would not be renewing the plowing contract. R. at 6-7. Because reorganization of his business seemed futile, the Debtor voluntarily converted his case from a chapter 11 to a chapter 7 under the Bankruptcy Code. R. at 6-7. The Trustee was appointed to administer the Debtor's bankruptcy estate and liquidate its property on April 13, 2017. R. at 7. The Bankruptcy Appellate Panel stayed the pending appeal in order to allow the Trustee to substitute in for the Debtor and get up to speed on the appeal. R. at 7.

After the conversion to a chapter 7, Weinberg resumed his attempts to collect against Clemons on the judgment for his personal guarantee. R. at 7. In May 2017, Weinberg hired a law firm to do a creditors' examination on Clemons. R. at 7. The attorneys found out that in May 2016, very shortly after the commencement of the case, the Debtor made fraudulent transfers of $100,000 in cash directly to Clemons' daughter's ("Patti") bank account. R. at 7. Weinberg provided the Trustee with information proving that this was a fraudulent transfer. R. at 7. The Trustee filed a complaint against Patti to avoid and recover the transfers under sections 548 and 550 of the Bankruptcy Code. R. at 7. A settlement was reached, and Patti agreed to pay $75,000 to the estate in satisfaction of all claims in the complaint. R. at 7.

Weinberg incurred a total of $25,000 in legal fees for investigating the fraudulent transfer. R. at 7. After the bankruptcy court approved the settlement, Weinberg filed a motion

seeking allowance of a substantial contribution administrative expense pursuant to section 503(b). R. at 7. Although the Trustee agreed that Weinberg made a substantial contribution, he opposed the motion on the grounds that administrative expenses for substantial contributions are not permissible in a chapter 7 case. R. at 7-8. The Trustee argued that pursuant to section 503(b)(3)(D), administrative expenses are only are allowable in chapter 9 and 11 cases. R. at 8. The bankruptcy court disagreed with the Trustee and approved Weinberg's motion, granting him an allowed administrative expense of $25,000. R. at 8. The Trustee timely appealed. R. at 8.

In September 2017, the Trustee received a letter from competing plowing company, Tenth Avenue Freeze, Inc. ("Tenth Avenue"), offering to buy all of the Debtor's assets, including the new trucks. R. at 8. Tenth Avenue hoped to secure a contract with the City of Badlands and planned to use the assets to restart the Debtor's failed operations. R. at 8. The offer was contingent on the Trustee immediately obtaining possession of the trucks, which had been rightly repossessed by Weinberg, and transferring the title from the Debtor to the Trustee. R. at 8. After unsuccessful negotiations between Weinberg and the Trustee, the Trustee tried to pressure Weinberg into turning over the trucks by continuing the appeal regarding Weinberg allegedly violating the automatic stay. R. at 8. Tenth Avenue eventually withdrew its offer. R. at 8.

In January 2018, Stone Pony Plowing, LLC ("Stone Pony"), another competitor, offered to buy Debtor's assets, excluding the snow-plows, for $100,000 less than Tenth Avenue had offered. R. at 8. The Trustee agreed to this and in February 2018, the bankruptcy court approved of the sale. R. at 8-9. Although the sale closed, the Trustee nonetheless refused to dismiss the appeal. R. at 9. With the consent of the parties, the automatic stay and substantial contribution appeals were consolidated before the Bankruptcy Appellate Panel. R. at 9. The panel affirmed on

both issues and the Trustee timely appealed both determinations to the United States Supreme Court. R. at 9.

SUMMARY OF ARGUMENT

Section 362(a)(3) does not prohibit a secured creditor from passively retaining estate property that was lawfully repossessed prepetition. While the majority of circuit courts of appeals have held that passive retention of estate property constitutes exercising control of property of the estate, these interpretations of the statute do not faithfully adhere to the text. This Court should affirm the Thirteenth Circuit's holding because under the plain meaning interpretation of the Bankruptcy Code, stay violations under 362(a)(3) only apply to acts taken after the petition is filed. Here, Weinberg did not commit any affirmative, post-petition acts.

Additionally, the "turnover power" under section 542(a) is not self-executing. Rather, section 542(a) merely allows the trustee to recover property that is not currently in the possession of the debtor. Here, the Debtor did not commence turnover action, and therefore, Weinberg did not violate the stay by refusing to return the snow plow trucks.

Section 503(b) authorizes administrative expenses to be allowed for substantial contributions in a chapter 7 case. While the statute does list chapters 9 and 11, these are mere examples and the statute does not explicitly exclude chapter 7. Crucially, the word "including" that is used in the statute indicates that examples are to follow. In reading the statute as a whole, it would be both illogical and grammatically incorrect to construe the statute to be exhaustive.

While Congress included chapters 9 and 11 in section 503(b) as examples of common circumstances in which substantial contributions are made, it only excluded chapter 7 because it is a rare circumstance. This case is a rare circumstance because Weinberg has made a substantial contribution to the debtor's estate by prosecuting the avoidance of the fraudulent transfer of

$100,000. R. at 8. The Supreme Court has long held that chapter 7 administrative fees are allowed under the inherent equity power of the bankruptcy courts and therefore, Congress intended section 503(b) to reach all creditors whose contribution benefited the estate. If there were to be doubt as to the interpretation of the statute, the Supreme Court should look to the Common Fund Doctrine that it formulated 136 years ago. The doctrine states that attorney's fees are payable to an attorney whose efforts preserved or recovered the fund for the benefit of others as well as himself. The Common Fund Doctrine brings to light the intentions of Congress in writing section 503(b).

If the Supreme Court were to hold that section 503(b) did not extend to chapter 7 creditors, then future creditors would be deterred from making substantial contributions to chapter 7 bankruptcy cases. This would put debtors' estates at risk of not achieving their maximum value. While it can be argued that by applying the terms of the statute to chapter 7 creditors would take away money from other creditors, here, Weinberg recovered $100,000 that was fraudulently transferred and therefore, restored a large sum of money that could be redistributed to other creditors.

ARGUMENT

When an appellate court reviews a bankruptcy court's decision, it does so directly. *Charbono v. Sumski* (*In re Charbono*), 790 F.3d 80, 84-85 (1st Cir. 2015) (citations omitted). Thus, in addressing questions of law, the review is de novo. *Texas v. Soileau* (*In re Soileau*), 488 F.3d 302, 305 (5th Cir. 2007) (citation omitted).

I. Section 362(a)(3) Does Not Prohibit A Secured Creditor From Passively Retaining Estate Property That Was Lawfully Repossessed Prepetition

During the course of a bankruptcy proceeding, the automatic stay found in section 362(a)(3) works with sections 541 and 542 to provide the debtor with one of the most fundamental protections afforded by the bankruptcy laws. *See* H.R.Rep. No. 95–595, at 340–41 (1977), reprinted in 1978 U.S.C.C.A.N. 5963, 6296–97; *see also United States v. Colasuonno*, 697 F.3d 164, 172 (2d Cir.2012). In doing so, it allows the debtor to more easily obtain the "fresh start" that he or she desires. *Id*. Section 362(a)(3) automatically effects a stay of "any act to obtain possession of the estate . . . or to exercise control over property of the estate" upon the filing of a bankruptcy petition. 11 U.S.C. § 362(a)(3) (2012). Essentially, the automatic stay provision "prevents creditors from taking further action against [the debtor] except through bankruptcy court." *Johnson v. Smith* (*In re Johnson*), 575 F.3d 1079, 1083 (10th Cir. 2009) (quoting *Price v. Rochford*, 947 F.2d 829, 831 (7th Cir. 1991)). Despite this, creditors may qualify to obtain relief from the automatic stay through section 362(d), which grants relief in circumstances where the creditor's assets are at risk. John Austin Boyd, Recent Development, *Does a Creditor Violate the Automatic Stay in § 362(a)(3) of the Bankruptcy Code by Refusing to Return the Debtor's Property that Was Repossessed Pre-Petition?* – WD Equipment, L.L.C. v. Cowen (In re Cowen), 849 F.3d 943 (10th Cir. 2017)., 41 AM. J. TRIAL ADVOC, 433, 433 (2017). For example, section 362(d) would apply in cases where the debtor is damaging the creditor's assets or has failed to insure them properly. *Id*.

Working in tandem with section 362, section 541(a)(1) provides that the estate is comprised of all property "wherever located and by whomever held," including "all legal or equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. Section 541(a)(1) (2012). Furthermore, section 542(a) provides that "an entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 shall deliver [such property] to the trustee . . . unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. Section 542(a) (2012). Expressly mentioned in section 542, section 363(e) vests in the court the power to condition the debtor's use of property on the ability to provide adequate protection. 11 U.S.C. Section 363(e) (2012).

While this is a case of first impression for this Court, there is a split amongst federal circuit courts regarding whether a creditor violates the stay merely by refusing to return property to the debtor that was lawfully acquired pre-petition. Recent Development, 41 AM. J. TRIAL ADVOC., 433, 434(2017). In February 2017, the Tenth Circuit embraced the minority approach, which holds that under a plain reading of the statutory text, the word "act" under section 362(a)(3) requires that the entity perform some affirmative, post-petition conduct in order to constitute a stay violation. *See WD Equip., LLC v. Cowen* (*In re Cowen*), 849 F.3d 943, 948 (10th Cir. 2017); *Davis v. Tyson Prepared Foods, Inc*. (*In re Garcia*), 740 Fed. Appx. 163, 164 (10th Cir. 2018) (emphasizing that the meaning of "act" for the purposes of section 362(a)(3) is limited to affirmative conduct); *United States v. Inslaw, Inc*., 932 F.2d 1467, 1474 (D.C. Cir. 1991). This view directly contradicts the majority position, which holds that passive retention of estate property constitutes the prohibited act of "exercise[ing] control over property of the estate." 11 U.S.C. § 362(a)(3) (2012); *See, e.g., Weber v. SEFCU* (*In re Weber*), 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 703 (7th Cir. 2009); *Cal. Emp't Dev. Dep't. v. Taxel* (*In re Del Mission*), 98 F. 3d 1147 (9th Cir. 1996); *Knaus v.*

Concordia Lumber Co. (*In re Knaus*), 889 F.2d 773 (8th Cir. 1989). In response to *Cowen*, a federal bankruptcy chief judge stated that it "sheds light on the conceivable shortcomings of the majority view and brings to the fore the circuit split on this issue." Anne & Janice Miller, *Examining Section 362(a)(3): When "Stay Means Stay*, AM. BANKR. INST. J. #, 61 (2017). This Court should adopt the minority stance and find that the secured creditor ("Weinberg") did not violate the automatic stay pursuant to section 362(a)(3) because this approach faithfully adheres to the text of the Code, rather than other secondary considerations. *See WD Equip., LLC v. Cowen* (*In re Cowen*), 849 F.3d 943, 948-40 (10th Cir. 2017) (internal quotations omitted); *See also Weber*, 719 F.3d at 80; *Thompson*, 566 F.3d at 703.

A. Stay Violations under 362(a)(3) Only Apply to Acts Taken After the Petition is Filed.

Through statutory interpretation, the minority approach reasons that violations of the automatic stay only apply to those acts committed by the creditor after the filing of a bankruptcy petition. Where the statutory scheme is "coherent and consistent," the court does not need to inquire beyond the plain language of the statute. *United States v. Ron Pair Enters., Inc.*, 489 U.S. 235, 240- 41 (1989). However, the Bankruptcy Code is unclear as to whether section 362(a)(3) applies to mere passive retention of estate property. Thus, inquiry into the meaning of section 362(a)(3) must begin with the language of the statute itself. *Id.* at 241; *See also Hughes Aircraft Co. v. Jacobson*, 525 U.S. 432, 438 (1999) (stating that "in any case of statutory construction, our analysis begins with 'the language of the statute.'"). Subsection (a)(3) of section 362 provides that the filing of a bankruptcy petition automatically effects a stay of "any *act* to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. Section 362(a)(3) (2012) (emphasis added). Thus, it addresses two types of stay violations that can be categorized as follows – (i) an "act" to obtain possession

of property of the estate, and (ii) an "act" to exercise control over property of the estate. *See Cowen*, 849. D.3d at 949.

"When terms used in a statute are undefined, [the court must apply] their ordinary meaning." *Asgrow Seed Co. v. Winterboer*, 513 U.S. 179, 187 (1995); *See also FDIC v. Meyer*, 510 U.S. 471, 476 (1994) (stating that "[i]n absence of such a definition, we construe a statutory term in accordance with its ordinary or natural meaning."); *Smith v. United States*, 508 U.S. 223, 228 (1993) (stating that "[w]hen a word is not defined by statute, we normally construe it in accord with its ordinary or natural meaning."). While the Bankruptcy Code itself provides no formal definition for what constitutes an "act," Black's Law Dictionary defines an "act" as "the process of doing something or performing." BLACK'S LAW DICTIONARY 27 (9th ed. 2009); *See Cowen*, 849. D.3d at 949 (quoting NEW OXFORD AMERICAN DICTIONARY 15 (3d ed. 2010)) (defining "act" as to "take action" or "do something."). Applying this ordinary definition, Section 362(a)(3) thus prohibits entities from "doing something" to obtain possession or exercise control over property of the estate once the stay is in effect.

The *Cowen* court reasoned that "the act of *passively* holding onto an asset" did not constitute "doing something," nor did the plain language "impose an affirmative obligation to turnover property to the estate." *Cowen*, 849. D.3d at 949 (emphasis added) (internal quotation marks omitted). In *Cowen*, the creditors failed to comply with the bankruptcy court's specific order to "immediately turn over" the trucks to the debtor despite the court's warning that failure could result in the "imposition of monetary damages against the Creditors for willful violation of the automatic stay." *Cowen*, 849. D.3d at 946 (internal quotations omitted). The creditors asserted that the debtor's "rights in the trucks had been properly terminated . . . before the bankruptcy petition was filed." *Id*. On appeal, the Tenth Circuit found that the creditors did violate the automatic stay; however, it was not for their passive retention of the trucks post-

petition. *Id*. at 951. Rather, the bankruptcy court found that creditors manufactured paperwork after the bankruptcy filing and likely gave perjured testimony in an attempt to convince the court that debtor's rights in the trucks had been terminated. *Id*. at 951. Thus, the Tenth Circuit held that these actions qualified as "post-petition acts to exercise control over debtor's property in violation of the automatic stay." *Id*. at 951.

This reasoning was reinforced by the United States Court of Appeals for the District of Columbia Circuit in *United States v. Inslaw, Inc.*, where the court held that "[t]he statutory language makes clear that the stay applies only to acts taken *after* the petition is filed." *Inslaw*, 932 F.2d at 1474 (emphasis added); *See* 11 U.S.C. § 362(a); *In re Stucka*, 77 Bankr. 777, 782 (Bankr. C.D. Cal. 1987) ("The automatic stay is effective as of the moment of filing of the bankruptcy petition."). The debtor in this case claimed that the creditor violated the automatic stay by "continuing, and expanding, its use of [the debtor's] software program." *Inslaw*, 932 F.2d at 1469. The debtor argued that the use of their program after the filing of the bankruptcy petition constituted "willful exercise of control over the property of the estate." *Id*. at 1471. Although the bankruptcy court and district court ruled in favor of the debtor and found the act to be a "willful violation," the District of Columbia Circuit held that "the automatic stay does not reach the [creditor's] use of property in its possession under a claim of right at the time of the bankruptcy filing." *Id*.

This starkly contrasts with the majority view. For example, in *Thompson*, the court found that "the act of passively holding onto an asset constitutes 'exercising control' over it, and such action violates section 362(a)(3) of the Bankruptcy Code). *Thompson*, 566 F.3d. at 703. Under *Thompson*, Weinberg would have violated the stay. However, this approach ignores the plain meaning of the statutory text, relying on practical and policy considerations instead.

Thus, this Court should adopt the Tenth Circuit and District of Columbia Circuit's analysis of section 362(a)(3). Here, Weinberg did not commit any affirmative, post-petition acts. Unlike in *Cowen*, where the court determined that the creditors had violated the stay by manufacturing paperwork and providing perjured testimony after the bankruptcy filing, thereby exercising control over the debtor's property, here, no such conduct can be found. Rather, Weinberg does not dispute that no foreclosure or similar proceedings have occurred and that the trucks remained titled in the name of the Debtor. R. at 6. Additionally, just as the *Cowen* court stated that the creditors passive retention of the trucks was not what violated the stay, the same principle should be applied here.

The facts here are analogous to those in *Inslaw*, where the creditor passively retained the property that it had legally held in its possession. Weinberg lawfully repossessed the trucks pre-petition. R. at 6. By not affirmatively "doing something" after the debtor filed the petition for bankruptcy, Weinberg did not violate the stay.

B. The "Turnover Power" under Section 542(a) is Not Self-Executing.

The two approaches also conflict on their application of section 542(a), which is popularly referred to as the "turnover power." Section 542(a) provides that:

> [A]n entity . . . in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate. 11 U.S.C. Srction 542(a) (2012).

The crux of the split rests on whether section 542(a) requires the creditor to immediately turn over collateral in their possession to the trustee or debtor-in-possession upon notification of the bankruptcy filing or if section 542(a) is merely "provides an express statutory basis for a bankruptcy court to enter an injunctive order compelling turnover of identified property in the possession of a third party." Ralph Brubaker, *Turnover, Adequate Protection, and the Automatic*

Stay (Part II): Who is "Exercising Control" Over What?, 33 BANKR. L. LETTER 9, Sept. 2013, at 4-5. Analysis of the statute's legislative history and the text evidence the latter. *See Cowen*, 849. D.3d at 950.

i. Legislative History Indicates that Section 542(a) Merely Provides Bankruptcy Courts with the Authority to Order Turnover.

Legislative history indicates that this "turnover power" allows the trustee to recover property that "was merely out of the possession of the debtor, yet remained 'property of the debtor.'' *Inslaw*, 932 F.3d at 1471 (quoting House Report at 367; Senate Report at 82). Thus, the purpose of section 542(a) is plainly to "empower the trustee in bankruptcy to get hold of the property of the debtor, some of which will be in possession, custody, or control of third parties." *Boyer v. Carlton, Fields, Ward, Emmanuel, Smith & Cutler, P.A.* (*In re USA Diversified Prods., Inc.*), 100 F.3d 53, 56 (7th Cir. 1996). Under the statute, an entity in possession of property of the estate may "voluntarily" relinquish possession to the trustee. *See In re Hall*, 502 B.R. 650, 656 (Bankr. D.D.C. 2014). In scenarios where possession is not voluntarily relinquished, section 542(a) allows the trustee to "obtain an order directing turnover unless one of the defenses to entry of turnover order applies." *Id.*

Although section 542(a) has remained unchanged since the original 1978 Bankruptcy Code, section 362(a)(3) was amended to extend the stay to "an act . . . to exercise control over property of the estate" in 1984. *See In re Hall*, 502 B.R. at 654-55; 11 U.S.C. Section 362(a)(3) (2012). Prior to the 1984 amendment, "courts uniformly viewed section 542(a) as providing bankruptcy courts with the authority to order the turnover of collateral or other property of the estate, but with the courts authorized to require adequate protection of a secured creditor's interest before directing turnover." *In re Hall*, 502 B.R. at 657; *See, e.g., In re Riding*, 44 B.R. 846, 848-49 (Bankr. D. Utah 1984) (decided after the Court decided Whiting Pools); *Sunrise*

Equip. & Dev. Corp. v. Pac. Am. Leasing Corp. (*In re Sunrise Equip. & Dev. Corp*.), 24 B.R. 26, 27-28 (Bankr. D. Ariz. 1982).

The Seventh Circuit, Eighth Circuit and the Bankruptcy Appellate Panels for the Sixth and Tenth Circuits, ignoring legislative history, have held that a creditor must turn over collateral before seeking adequate protection. *See e.g*., *Thompson*, 566 F.3d 699 at 707-08; *Knaus*, 889 F.2d at 775. For example, in *Thompson v. General Motors*, 566 F.3d, the debtor defaulted on his car payments, resulting in the lawful seizure of the car by the creditor. After the debtor's filing for Chapter 11 bankruptcy, the creditor refused to relinquish possession of the car on the grounds that the debtor could not adequately protect its interests. The Seventh Circuit held that the creditor's refusal to turn over the property constituted "exercising control" over an asset, reasoning that upon the request of a debtor that had filed for bankruptcy, a creditor must first return the asset in which the debtor has an interest to his bankruptcy estate and then, if necessary, seek adequate protection of its interests in the bankruptcy court. Similarly, in *Weber*, the court reasoned that "the self-executing nature of section 542(a) operates to vest the debtor with a possessory interest in the property such that a creditor's continued retention of possession constitutes an act to 'exercise control' over property of the estate." *In re Hall*, 502 B.R. 650, 654 (Bankr. D.D.C. 2014).

The majority argues that "section 542 provides the *right* to the return of estate property, while section 362 provides the remedy for the failure to do so*." Abrams v. Sw. Leasing & Rental, Inc.* (*In re Abrams*), 127 B.R. 239, 242-43 (B.A.P. 9th Cir. 1991) (emphasis added). However, "there is still no textual link between section 542 and section 362." *Cowen*, 849. D.3d at 950. This argument is not supported by the statute's text or it's legislative history. "[N]one of the language of section 362(a)(3) suggests that Congress meant by its amendment to change the meaning and operation of section 542(a)." *In re Hall*, 502 B.R. 650, 655 (Bankr. D.D.C. 2014).

Additionally, the majority heavily relies on *Whiting Pools*; however, the *Whiting Pools* court noted that the "[bankruptcy] court directed the IRS to turn the property over to Whiting *on the condition* that Whiting provide the Service with specified protection for its interests." *Whiting Pools*, 462 U.S. at 201 (emphasis added). Thus, the decision reached in Whiting Pools must be read only to mean that "a bankruptcy court *may* invoke section 542(a) to order the [creditor] to turn over property." *In re Young*, 193 B.R. 620, 622 (Bankr. D.D.C. 1996). "None of the courts involved in Whiting Pools intimated that turnover duties under section 542(a) could be self-executing in the face of a request for proof of adequate protection." *Id.* at 622-23.

This Court should adopt the minority approach and find that turnover is not self-executing. Just as the creditor in *Weber* lawfully repossessed the debtor's car; here, it is undisputed that Weinberg repossessed the snow plow trucks in accordance with applicable non-bankruptcy law. R. at 6. Additionally, although Weinberg received notice of the Debtor's bankruptcy filing and the Debtor's attorney's sent Weinberg a letter demanding the return of the snow plow trucks, Weinberg rightfully refused because section 542(a) is not self-executing. R. at 6. Weinberg testified that his refusal to return the trucks rested upon his understanding that it was the Debtor who had the burden to bring turnover action, in which case Weinberg could demand adequate protection of his interest in the trucks. R. at 6. Weinberg's understanding matches the holdings of the correct approach, the minority approach. Thus, under the proper approach, he did not violate the stay.

ii. Viewed in the Context of the Bankruptcy Code as a Whole, Section 542 is Not Self-Executing

A court must "follow the cardinal rule that a statute is to be read as a whole since the meaning of statutory language, plain or not, depends on context." *King v. St. Vincent's Hosp.*, 502 U.S. 215, 221 (1991) (citations omitted). Thus, section 542(a) must be interpreted in

conjunction with the entirety of the Bankruptcy Code. Adopting the interpretation that section 542(a) is self-executing directly conflicts with §363(e) which provides:

> Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court . . . shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. . . . 11 U.S.C. Section 363(e) (2012).

In *United States v. Whiting Pools, Inc.*, 462 U.S. 198 (1983), the Court addressed the "explicit limitations on section 542(a)," including that the property must be usable under section 363. *Id.* at 206 n.12. Section 363(e) protects creditors interests to the extent "necessary to provide protection of such interest." 11 U.S.C. Section 363(e) (2012). If section 542(a) is self-executing, as the majority argues, then creditors would be required to turn over assets in their possession prior to seeking adequate protection. In doing so, creditors could be irreparably harmed and lose the protection that section 363(e) was intended to provide. *See Bernstein*, 252 B.R. at 850-51.

iii. Section 542(a) Should Be Treated Like its Sister Turnover Provision, 542(b), Which Is Not Self-Executing

"When sister provisions of a statute contain the same word, that word ought to be given the same meaning." *In re Hall*, 502 B.R. at 658. Section 542(b) provides:

> an entity that owes a debt that is property of the estate and that is matured, payable on demand, or payable on order, shall pay such debt to, or on the order of, the trustee, except to the extent that such debt may be offset under section 553 of this title against a claim against the debtor. 11 U.S.C. Section 542(b) (2012).

The majority argues that the word "shall" evidences the self-executing nature of section 542(a), but section 542(b) also utilizes the word "shall" and is not self-executing. *In re Hall*, 502 B.R. at 658. In *Bernstein*, the court stated that "Section 542(b) is simply an acknowledgement that the trustee, not the debtor, is entitled to receive payment of monetary obligations owed to the debtor, not a self-executing provision giving rise to contempt when the obligor fails to pay the

obligation to the trustee." *Bernstein*, 252 B.R. at 852. As a result, section 542(a) should be read simply to mean that a bankruptcy court may use section 542(a) to order the creditor to turnover property lawfully in their possession to the estate. Thus, this Court should adopt the minority approach and find that turnover is not self-executing.

II. Section 503(b) of the Bankruptcy Code Permits a Court to Allow Administrative Expenses for Substantial Contributions in a Chapter 7 Bankruptcy Case Because Congress Intended for Courts to Interpret the Statute as Non-Exhaustive.

Section 503(b) permits administrative expenses in chapter 7 cases. Creditors who incur costs in a debtor's bankruptcy case may be entitled to reimbursement by the estate, with the claim of costs being administrative expenses. Section 507 of the Bankruptcy Code grants a second priority status to administrative expense claims allowed under section 503(b). 11 U.S.C. Section 507(a)(2). This priority status, in turn, requires a trustee or debtor in possession to pay allowed administrative expense claims before making any distributions to holders of lower priority claims or general unsecured creditors. *In re Javed*, 592 B.R. 615, 618 (Bankr. D Md 2018). Section 503(b)(3)(D) of the Bankruptcy Code provides for the award of administrative expenses for creditors who incur "actual, necessary" expenses by making "substantial contributions" in cases under chapter 9 or chapter 11. 11 U.S.C. Section 503(b). Weinberg made a substantial contribution of $25,000 when he hired a law firm to look into Clemons' finances. R. at 8. Weinberg recovered $75,000 that was fraudulently transferred to Clemons' daughter right after the commencement of the case. R. at 7. Recovering this money was a benefit to the estate. Further, Congress never intended to exclude chapter 7 from the statute, it merely listed chapters 9 and 11 as examples, as opposed to an explicit limitation. Failing to award Weinberg administrative expenses would deter future creditors from actively participating in bankruptcy cases. The administrative expenses incurred by Weinberg should be reimbursed because it

properly follows from the interpretation of the statutory language and relevant equitable considerations. *In re Connolly N. Am.*, 802 F.3d 810, 815 (6th Cir. 2015).

A. Administrative Expenses for Substantial Contributions in Chapter 7 are not Precluded by the Plain Language of Section 503(b) Because Chapters 9 and 11 Are Listed as Examples, Not as Limitations.

Administrative expenses for substantial contributions in chapter 7 are not precluded by the plain language section 503(b). In conducting an analysis of statutory interpretation, the Supreme Court first turns to the statute's plain language. *U.S. v. Ron Pair Enterprises, Inc.*, 109 S. Ct. 1026, 1030 (1989). The court gives undefined terms their ordinary meaning, while considering both the specific context in which the word is used and the broader context of the statute as a whole. *In re Taylor*, 899 F.3d 1126, 1129 (10th Cir. 2018). When statutory language is unambiguous, "judicial inquiry is complete except in rare and exceptional circumstances." *Demarest v. Manspeaker*, 111 S. Ct. 184, 190 (1991). The language of section 503(b)(3)(D) provides chapter 9 and chapter 11 as examples of when administrative expenses can be obtained by creditors but does not exclude chapter 7.

In *In re Connolly*, a substantial contribution claim reimbursed administrative expenses under chapter 7. There, a chapter 7 petition was filed against the defendant and an unsecured creditor applied for almost $200,000 in administrative expenses under the general authority to allow administrative expenses in section 503(b). *In re Connolly N. Am.*, 802 F.3d at 813. The court held that administrative expenses are allowed in chapter 7 cases. *Id*. at 13. The court reasoned that the plain language of the statute does not explicitly say that expenses incurred by a creditor are not allowable under chapter 7. *Id*. at 816. Further, the court reasoned that the word "including" indicated bankruptcy courts would encounter a variety of expenses that it would evaluate on a case-by-case basis, and therefore, chapters 9 and 11 are merely examples. *Id*.

In *In re Maqsoudi*, the logical interpretation of section 503(b) allowed administrative expenses in a chapter 7 case. After the trustee recovered real property from the debtor that was fraudulently transferred by debtor to the defendant, the trustee sold the property. *In re Maqsoudi*, 566 B.R. 40, 42 (Bankr. C.D. Cal. 2017). The creditor did not recover any property and merely provided important assistance to the Trustee. *Id*. at 43. Claiming that the creditor made a substantial contribution to the Chapter 7 case, the creditor's attorney filed for payment of administrative expenses. *Id*. The court held that administrative expenses that benefit the estate are allowed in chapter 7 cases under the meaning of section 503(b). *Id*. at 42-43. The court reasoned that for the statute to be grammatically proper, the word "including" must apply to both the nine subsections of section 503(b), as well as the six examples of 503(b)(3). *Id*. at 43-44. Additionally, the court reasoned that if the word "including" was exhaustive, the statute would be impossible to apply to situations outside of its plain language. *Id.* at 44.

In *Matter of Zedda*, the chilling thought of turning future creditors away from contributing to bankruptcy proceedings was reason enough to grant administrative expenses in a chapter 7 case. The Trustee agreed that the attorneys' services benefitted the estate and therefore, was a substantial contribution. *Matter of Zedda*, 169 B.R. 605, 607 (Bankr. E.D. L.A. 1994). The court held that administrative expenses were allowed. *Id*. The court reasoned that not allowing creditors and their counsel to recover fees and costs that they incurred during the investigation of the financial affairs of the debtor and the prosecution would dissuade creditors from participating in future bankruptcy proceedings. *Id*.

While the statute specifies the allowance of administrative expenses under chapters 9 and 11 it does not plainly exclude the allowance of administrative expenses under chapter 7. In reading the plain language of the statute there is no mention of chapter 7 and therefore, it cannot be determined that under no circumstances are administrative expenses allowed. Nowhere does

the Act say, "expenses incurred by a creditor in securing the removal of a chapter 7 trustee are not allowable"; or, "expenses incurred in making a substantial contribution in a case under chapters 9 or 11, but not chapter 7, may be allowed"; or, "only the enumerated expenses shall be allowed." *In re Connolly N. Am.*, 802 F.3d at 816. Therefore, administrative expense claims are allowed beyond what is precisely covered by the provisions of section 503(b).

The meaning of the word "including" in section 503(b) is non-exhaustive. Section 102(3) of the Bankruptcy Code states that "includes" and "including" are not limiting terms when used in the Code. *In re Maqsoudi*, 566 B.R. at 45. In fact, precedent has broadened the concept of administrative expense claim by using the word "including" to demonstrate that the nine sub-parts of section 503(b)(1) are examples and not limitations of what can be determined to be an administrative claim. *Matter of Al Copeland Enterprises, Inc.*, 991 F.2d 233, 239 (5th Cir. 1993). On the contrary, in *In re United Educ. & Software*, the Ninth Circuit Bankruptcy Appellate Panel interpreted the word "including" to mean that the nine subsections of section 503(b) were non-exhaustive, but that the six examples of section 503(b)(3), which does not use the word including, were exhaustive and therefore, limiting. *In re Maqsoudi*, 566 B.R. at 43-44. It is illogical to conclude that the word including can be considered non-exhaustive in some areas of the Code, but exhaustive in others. *Id*. at 55. Concluding that the subsections of 503(b) are non-exhaustive but do not extend to the following subsections in 503(b)(3)(A)-(F) is grammatically improper. The court in *In re Maqsoudi* even found that it would make the application of the statute to situations outside of the plain language untenable. *Id*. Therefore, as listed in section 503(b)(3)(D), chapters 9 and 11 should be considered examples, not limitations, of when administrative expenses can be granted.

The statute should be construed to apply to chapter 7 cases such as the one at hand because the avoidance and recovery of a fraudulent transfer is a substantial benefit to the estate.

In *Matter of Zedda*, the court held that an attorney who helped the Trustee to successfully prosecute an avoidance action against the debtor for a fraudulent transfer was entitled to recover administrative fees in the chapter 7 case. *Matter of Zedda*, 169 B.R. at 607. The court not only found that there was a benefit to the estate, but that the word "including" in section 503(b) indicates that the "items enumerated are an illustrative listing of the types of administrative claims that will be permitted, not a limitation on what can be determined to be an administrative claim." *Id*. Similarly, Weinberg helped the Trustee to recover $75,000 of the $100,000 that was fraudulently transferred to Clemons' daughter. R. at 7. Therefore, Weinberg helped to preserve the assets of the estate and to reimburse him for his contribution the court should take on the same interpretation as the court in *Matter of Zedda*.

By interpreting the word "including" narrowly the Court is disregarding the independent basis for the allowance of a chapter 7 creditor's attorney fees under section 503(b)(1)(A) as "necessary costs and expenses of preserving the estate." Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7* Cases, 26 No. 4 J. BANKR. L. & PRAC. NL ART., 6 (1964). Under this section of the statute alone, Weinberg is allowed to collect his attorneys' fees because the money spent on hiring the law firm to look into Clemons was a necessary cost that preserved the estate. Therefore, by construing section 503(b) narrowly, the court would be contradicting the entirety of the statute.

B. Congress' Intent in Including Chapters 9 and 11, but not Chapter 7, Was Simply to Highlight the More Common Circumstances, Rather Than List All of The Rare Circumstances.

Congress intended for chapter 7 cases to be covered under section 503(b). The goal of statutory interpretation is to ascertain the congressional intent and give effect to the legislative will. *In re Taylor*, 899 F.3d at 1129. Unless forbidden by Congress, the bankruptcy courts have

the inherent power to allow administrative expenses under a chapter 7 bankruptcy case. *Alyeska Pipeline Serv. Co. v. Wilderness Soc'y*, 95 S. Ct. 1612, 1622 (1975). A common sense interpretation of section 503(b) makes it clear that Congress did not intend to forbid chapter 7 creditors from the allowance of administrative expenses and therefore, bankruptcy courts have the inherent power to allow them.

It is logical that Congress would expressly mention chapter 9 and 11 cases, but not chapter 7, because in both chapter 9 and chapter 11 a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical chapter 7 case the U.S. trustee fulfills this role. *In re Connolly N. Am.*, 802 F.3d at 817. The U.S. trustee is not a fail-proof safeguard and there are circumstances where a chapter 7 creditor may be compelled to utilize its own resources to protect the value of the estate. This is why it is important that the intent and plain language of the statute are found to support substantial contribution claims not only in chapter 9 and 11 cases, but also in chapter 7 cases. *Id*.; *In re Javed*, 592 B.R. at 620. This interpretation allows courts to assess the most common kinds of administrative expenses while also allowing courts to provide similar compensation in other rare, but deserving, instances. *In re Javed*, 592 B.R. at 621. While Congress could have expressly included chapter 7, it could have just as easily expressly excluded it if that is what was intended. *In re Sharkey*, 2017 WL 5476486, 6 (E.D. Mich. 2017). Therefore, while the situation is rare in a chapter 7 case, it does exist, and Congress did not intend to exclude it.

Congress intended for the statute to extend to rare chapter 7 cases, such as the one here. Courts have suggested that section 503(b)(1)(A) allows administrative expenses for attorneys' fees for services that were essential to preserve assets of the chapter 7 estate. Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7* Cases, 26 No. 4 J. BANKR. L. & PRAC. NL ART.,

6 (1964). The provision is clear and specific for chapter 7 cases, such as this one, where the attorney's services resulted in recovering or protecting estate assets. *Id*. Had Weinberg not looked into Clemons, he might have gotten away with a hefty fraudulent transfer and depleted the assets of the estate.

The Supreme Court has long held that chapter 7 administrative fees are allowed under the inherent equity power of the bankruptcy courts and therefore, Congress intended for section 503(b) to reach all creditors whose contribution benefited the estate. In *Trustees v. Greenough*, the Supreme Court held, "It is also established by sufficient authority, that where one of many parties having a common interest in a trust fund, at his own expense takes proper proceedings to save it from destruction and to restore it to the purposes of the trust, he is entitled to reimbursement…" *Trustees v. Greenough*, 105 U.S. 527, 532-33 (1881). The Supreme Court went even further to state that, the aforementioned rule prevails in bankruptcy cases. *Id*. at 534. Almost one hundred years later, in *Alyeska Pipeline Service Co. v. Wilderness Society*, the Supreme Court held that this "inherent power in the courts to allow attorneys' fees" may be exercised "unless forbidden by Congress." *Alyeska Pipeline Serv. Co. v. Wilderness Soc'y*, 95 S. Ct. at 1622. As courts of equity, bankruptcy courts may exercise the inherent power of the federal courts in awarding substantial contribution administrative fees in a chapter 7 case because Congress has not forbidden bankruptcy courts to do so under any provision of the Bankruptcy Code, including section 503(b). Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7* Cases, 26 No. 4 J. BANKR. L. & PRAC. NL ART., 6 (1964).

If there were doubt as to the meaning of section 503(b)'s text, or Congress' intention in writing the statute, it should be construed in light of the Common Fund Doctrine. *Id*. The Common Fund Doctrine was formulated by the Supreme Court in 1881 and states that attorneys'

fees are payable to a litigant's attorney whose efforts preserved or recovered the fund for the benefit of others as well as himself or herself. *Id*. The Common Fund Doctrine has been applied regularly for the past 136 years and has been consistently followed by the Supreme Court. *Id*. Weinberg put his efforts forward to recover the fund for the benefit of the estate and the Trustee and therefore, would be paid attorneys' fees under the Common Fund Doctrine.

C. Chapter 7 Creditors Should Not Be Barred From Receiving Administrative Expenses Because it Would Deter Creditors From Participating in Bankruptcy Cases in The Future.

Barring chapter 7 creditors from receiving administrative expenses when they are forced to take actions that benefit the bankruptcy estate would deter future creditors from participating in bankruptcy cases. This is inconsistent with the intentions of the Bankruptcy Code. *In re Connolly N. Am.*, 802 F.3d at 818. The Bankruptcy Code encourages creditor participation, which will deteriorate if creditors know from the outset that the jurisdiction in which the bankruptcy case is filed will not approve its administrative claim. Keith J. Larson, *Congress: Resolve Split on Ch. 7 Substantial-Contribution Claims*, Am. Bankr. Inst. J., 20, 112 (2016). By rewarding an administrative expense, a creditor could reasonably anticipate reimbursement, and therefore, be more inclined to participate. *Id*.

In many instances, creditors take action at their own expense to preserve the assets of an estate when nobody else is willing to step up. Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7* Cases, 26 No. 4 J. BANKR. L. & PRAC. NL ART., 6 (1964). If creditors had the prior knowledge that their efforts would not be compensated then they would never put forth that effort and debtors' estates would suffer as a result. While it can be argued that by granting administrative expenses to creditors who make substantial contributions would take away money from other creditors, if Weinberg had not uncovered the fraudulent transfer of $100,000 the

estate would be short $100,000 to distribute to the creditors from the start. If the system does not allow chapter 7 creditors to be compensated for their substantial contributions then bankruptcy estates will not reach their maximum value and it will be the creditors who suffer.

Until Congress settles the circuit split and amends section 503(b)(3)(D) to clarify that administrative expenses are allowed in chapter 7 cases, the courts should interpret the statue logically and include chapter 7 as an example. This would not lead to abuse of the creditors because the circumstances in which a chapter 7 creditor requests and deserves administrative expenses are rare. This amendment would solely clarify that the court may have the option to grant such requests, however, it is not mandatory that it does. Keith J. Larson, *Congress: Resolve Split on Ch. 7 Substantial-Contribution Claims*, Am. Bankr. Inst. J., 20, 112 (2016). Until there is an amendment to explicitly include chapter 7, if the courts choose to exclude chapter 7 cases, then the bankruptcy system is failing to fully employ the resources of latent creditors that are justifiably unwilling to help fund liquidation proceedings. *Id*.

CONCLUSION

For the aforementioned reasons this Court should affirm the ruling of lower court.

Respectfully submitted.

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